Morgan Stanley | RESEARCH

UPDATE

November 6, 2026 04:09 PM GMT

Accton Technology Corporation | Asia Pacific

October Sales +11% MoM/+91% YoY

In this report, we focus on Accton's monthly sales, which we believe could be a catalyst for share price movement.

Details:

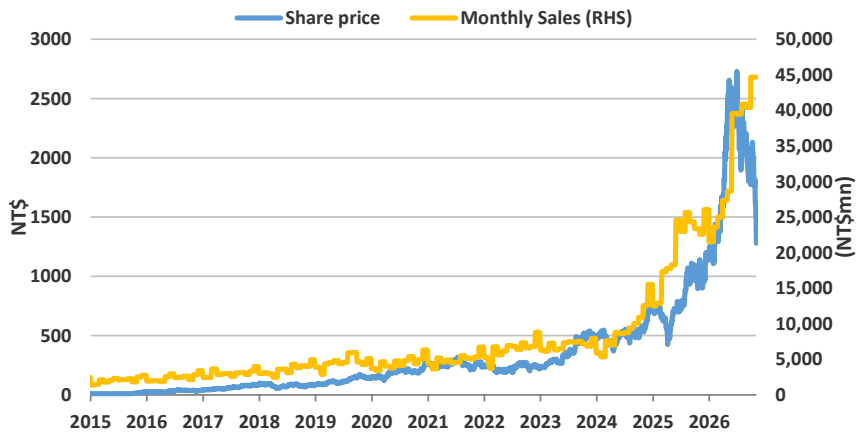
- October sales were NT$44,663mn (+11% MoM/+91% YoY).
- QTD reached 35% of our 4Q26 estimate at NT$126,937mn (+5% QoQ/+76% YoY) and 36% of consensus at NT$122,585mn (+2% QoQ/+70% YoY).

Our view:

- We see its 4Q26 revenue tracking slightly ahead of market expectations.
- We expect Accton to continue growing its revenue and gross margin sequentially in 4Q26 amid solid demand from customers, although component supply could be a potential gating factor.

- Stay OW.

Exhibit 1: Accton's monthly sales vs. its share price since 2015



Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

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Morgan Stanley appreciates your support in the 2027 Extel Asia Research Survey. Voting opens 10 November 2026.

Accton Technology Corporation (2345.TW, 2345 TT)
Top Pick

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$3,500.00
Up/downside to price target (%)	173
Shr price, close (Nov 6, 2026)	NT$1,280.00
52-Week Range	NT$2,825.00-888.00
Sh out, dil, curr (mn)	559
Mkt cap, curr (mn)	NT$715,402
EV, curr (mn)	NT$654,751
Avg daily trading value (mn)	NT$8,276

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	47.13	83.77	115.77	145.77
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	45.42	85.80	118.74	166.21
Revenue, net (NT$ mn)	248,320	413,479	541,272	667,428
EBITDA (NT$ mn)	33,894	62,436	85,653	106,950
ModelWare net inc (NT $ mn)	26,342	46,817	64,707	81,472
P/E	25.1	15.3	11.1	8.8
P/BV	11.5	7.6	5.0	3.5
RNOA (%)	622.3	(1,479.8)	4,110.1	1,435.9
ROE (%)	72.6	81.2	69.2	56.9
EV/EBITDA	17.8	10.0	6.7	4.9
Div yld (%)	0.9	1.5	2.1	2.7
FCF yld ratio (%)**	4.5	5.9	8.5	10.8
Leverage (EOP) (%)	(101.7)	(96.2)	(94.8)	(94.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
§ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Accton Technology Corporation 2345.TW			
October 2026 Sales	06 Nov 2026	Unchanged	↑ Modest upside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Accton Technology Corporation (2345.TW)

Base case, P/E, which we believe better captures the company's earnings growth momentum. We assign a target P/E of 30x to our 2027 EPS estimate, which we view as justified by an operating profit CAGR of 48% for 2025-28, based on our estimates. This implies a PEG of around 0.6, vs. its average of 0.7 over 2019-25, when the stock was trading at a P/E of 22x for an operating profit CAGR of 32%.

Risks to Upside

- Stronger data center capex
- Faster network switch spec migration
- InfiniBand losing share in AI networks
- Stronger custom AI accelerator growth
- Stronger ODM direct business model adoption

Risks to Downside

- Weaker data center capex
- Slower network switch spec migration
- InfiniBand taking more share in AI networks
- Softer custom AI accelerator growth
- Softer ODM direct business model adoption

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(as of October 31, 2026)
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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

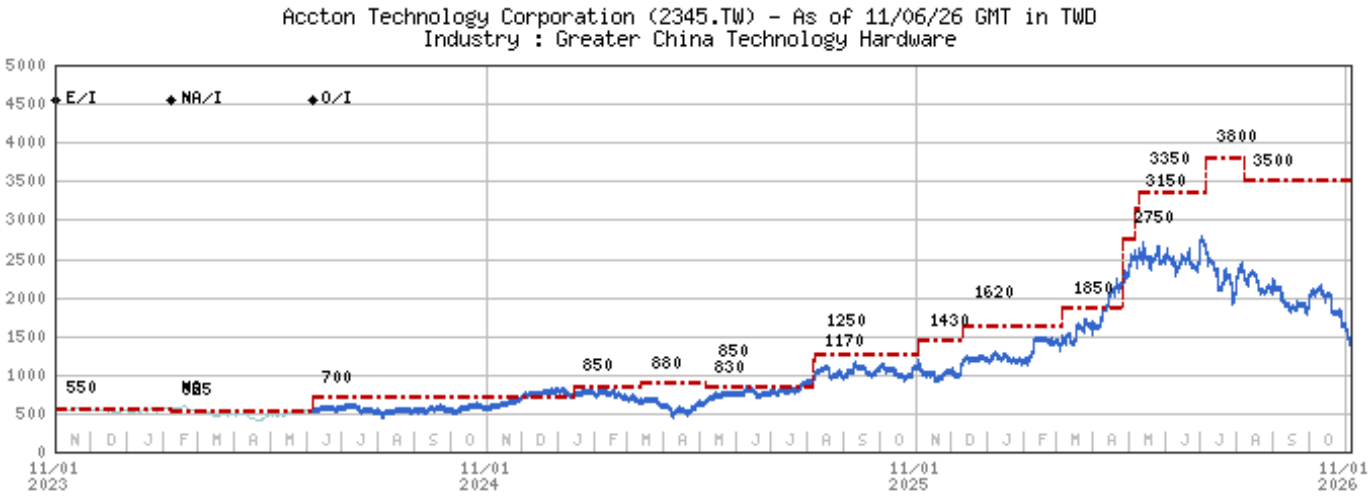
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Price Target History: 7/28/21 : 336; 11/12/21 : 265; 1/10/22 : 280; 3/7/22 : 270; 5/13/22 : 235; 6/7/22 : 248; 8/12/22 : 275; 5/22/23 : 285; 8/10/23 : 295; 10/17/23 : 550; 2/7/24 : NA; 2/8/24 : 525; 6/6/24 : 700; 1/14/25 : 850; 3/13/25 : 880; 5/6/25 : 830; 5/9/25 : 850; 8/6/25 : 1170; 8/8/25 : 1250; 11/4/25 : 1430; 12/12/25 : 1620; 3/6/26 : 1850; 4/27/26 : 2750; 5/7/26 : 3150; 5/11/26 : 3350; 7/6/26 : 3800; 8/7/26 : 3500

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/06/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.64
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb91.30
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.40
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.00
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.54
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb172.10
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$825.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb24.61
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.01
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb35.25
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$54.35
Largan Precision (3008.TW)	O (10/13/2026)	NT$4,480.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.16
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.63
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.55
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$49.06
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb50.05
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.66
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.43
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb77.29
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.68
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb65.00
Sunny Optical (2382.HK)	E (03/23/2026)	HK$64.05

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb122.00
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb11.49
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.38
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb240.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$86.05
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb104.43
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.84
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb448.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$569.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.06
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.20
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,280.00
Advantech (2395.TW)	O (01/20/2021)	NT$552.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,010.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,310.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$26.55
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,055.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,325.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.46
Chenbro (8210.TW)	O (07/23/2025)	NT$546.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,205.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,055.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$142.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,690.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$274.50
Innolux (3481.TW)	E (04/07/2025)	NT$36.05
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$7,565.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb27.01
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$198.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.57
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.60
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$29.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$859.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$183.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$31.50
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$3,820.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$2.91
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb40.71
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$298.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$813.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$224.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.12
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$30.40
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$1,750.00
Lenovo (0992.HK)	O (07/10/2026)	HK$18.81
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,585.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$875.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$92.90
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$290.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb70.49
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb199.92
Unimicron (3037.TW)	O (02/23/2026)	NT$727.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$319.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$160.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,555.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$374.00
Zhen Ding (4958.TW)	++	NT$373.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$303.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$906.00

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